

BlueHarbor Retail Group

Quarterly Shareholder Report — Second Quarter, Fiscal Year 2026 (April–June 2026)

Financial Highlights

Revenue for the quarter was \$689 million, an increase of 3.4% over the previous quarter. Net income was \$22 million, representing a net margin of 3.2%, in line with sector norms.

E-commerce now represents 31% of total revenue, up from 27% a year ago.

Revenue Performance

Growth this quarter was driven primarily by the home-and-garden category, which rose 11% on strong seasonal demand, and by the loyalty program relaunch, which added 1.4 million active members.

Apparel revenue declined 2.6%, continuing a four-quarter trend that management attributes to assortment issues now being addressed by the new merchandising team.

Margins and Costs

Gross margin compressed by 90 basis points, driven by promotional intensity in apparel and higher last-mile delivery costs in the e-commerce channel. Management attributes the margin decline primarily to markdowns taken to clear spring apparel inventory.

Outlook

For the next quarter, management is guiding to revenue growth of 1% to 2%, reflecting a cautious view of discretionary spending and tougher year-over-year comparisons in home-and-garden.

Principal Risks

The most significant risk this quarter is inventory risk in apparel: a failure of the fall assortment reset would likely require markdowns exceeding those taken this quarter.